

LONGi Green Energy Technology (A)

1Q26 net loss widened on FX loss, back contract shipment to 66% share

Maintain Rating: UNDERPERFORM | PO: 11.90 CNY | Price: 16.95 CNY

1Q net loss widened, still searching for BC differentiation

LONGi reported a net loss of RMB1.92bn in 1Q26, deteriorating 34% YoY from a loss of RMB1.4bn in 1Q25, hurt by a -RMB0.7bn YoY FX swing, masking marginal operational improvement. Chairman Zhong struck a cautiously optimistic tone in his letter, citing intact thesis: energy transition secular growth + BC differentiation + storage synergy (acquisition of Potisedge) = long-term value. He thinks the worst for LONGi is over and is seeing light at the end of the tunnel. Management expects anti-involution to lead the industry to see gradual capacity exit and price recovery in 2026. We maintain our Underperform rating as the solar industry recovery remains uncertain. LONGi management will host a results briefing call at 10am HKT on 30 April.

Other results highlights and FY26 guidance

LONGi shipped 20.5GW (-13% YoY) wafers and 12.6GW (-25%) modules (66% 8.3GW BC-type). Gross margin was -1.2% in 1Q26, better than -4.2% in 1Q25 but worse than -0.2% in 4Q25, as management cited that the market remains in "winter," with silver-price volatility in 2H25/1Q26 adding further pressure. LONGi's BC capacity reached 57GW (owned + partnership), and it targets 20GW next-gen BC by June 2026. 1Q26 cash position was stable at RMB 50.1bn despite operating outflows of RMB2.45bn (vs. -RMB 1.75bn in 1Q25). Overall loss narrowed in 2025 at -RMB6.4bn, 34% loss reduction vs -RMB8.6bn in 2024. FY25 gross margin (0.8%) by location: Europe 8.4%, Americas 5.2%, Middle East & Africa 4.8%, Asia Pacific 4.4%, China -3.4%.

FY26 targets: wafer ~100GW (vs 111.56GW in 2025), modules ~80GW (vs 2025 at 86.58GW) with 65%+ BC mix, storage 6GWh, overseas revenue >50% of total (vs 45% in 2025). For industry growth, LONGi cited 180-240GW of China's solar installation in 2026 and global energy storage shipments at 600GWh in 2026 (vs 421GWh in 2025), per Infolink.

Estimates (Dec) (CNY)	2023A	2024A	2025E	2026E	2027E
Net Income (Adjusted - mn)	10,751	(8,618)	(1,661)	1,426	6,289
EPS	1.42	(1.14)	(0.219)	0.188	0.830
EPS Change (YoY)	-27.3%	NM	80.7%	NM	341.0%
Consensus EPS (Visible Alpha)			(0.62)	0.19	0.58
Dividend / Share	0.170	0	0	0.019	0.083
Free Cash Flow / Share	(0.150)	(1.68)	0.114	(0.369)	(0.190)
Valuation (Dec)					
P/E	11.95x	NM	NM	90.08x	20.42x
Dividend Yield	1.00%	0%	0%	0.111%	0.490%
EV / EBITDA*	7.11x	38.42x	42.62x	22.84x	10.73x
Free Cash Flow Yield*	-0.886%	-9.92%	0.671%	-2.18%	-1.12%

* For full definitions of *IQmethod™* measures, see page 4.

29 April 2026

Equity

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Stock Data

Price	16.95 CNY
Price Objective	11.90 CNY
Date Established	5-May-2025
Investment Opinion	B-3-9
52-Week Range	14.07 CNY-23.57 CNY
Mrkt Val / Shares Out (mn)	18,824 USD / 7,578.0
Market Value (mn)	128,448 CNY
Average Daily Value (mn)	447.20 USD
Free Float	67.6%
BofA Ticker / Exchange	XAQZF / SHH
Bloomberg / Reuters	601012 CH / 601012.SS
ROE (2025E)	-2.8%
Net Dbt to Eqty (Dec-2024A)	-9.8%

BC: Back contact

GW: Gigawatt

GWh: Gigawatt hour

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Refer to important disclosures on page 5 to 7. Analyst Certification on page 3. Price Objective Basis/Risk on page 3.

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Timestamp: 28 April 2026 04:13PM EDT

iQprofileSM LONGi Green Energy Technology (A)

Key Income Statement Data (Dec)

(CNY Millions)

	2023A	2024A	2025E	2026E	2027E
Sales	129,498	82,582	75,478	88,160	98,721
Gross Profit	23,645	6,142	5,138	9,084	15,962
Sell General & Admin Expense	(7,585)	(6,336)	(5,791)	(6,764)	(7,574)
Operating Profit	13,973	(1,086)	(1,360)	1,283	7,076
Net Interest & Other Income	(1,984)	(9,120)	(607)	406	372
Associates	NA	NA	NA	NA	NA
Pretax Income	11,989	(10,206)	(1,967)	1,689	7,448
Tax (expense) / Benefit	(1,303)	1,528	295	(253)	(1,115)
Net Income (Adjusted)	10,751	(8,618)	(1,661)	1,426	6,289
Average Fully Diluted Shares Outstanding	7,580	7,578	7,578	7,578	7,578

Key Cash Flow Statement Data

Net Income	10,751	(8,618)	(1,661)	1,426	6,289
Depreciation & Amortization	3,695	4,353	4,305	4,213	4,624
Change in Working Capital	(12,011)	(10,906)	881	(1,755)	(1,765)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	5,681	10,446	1,186	1,391	1,662
Cash Flow from Operations	8,117	(4,725)	4,711	5,275	10,810
Capital Expenditure	(9,256)	(8,013)	(3,850)	(8,072)	(12,249)
(Acquisition) / Disposal of Investments	3,500	619	0	0	0
Other Cash Inflow / (Outflow)	120	162	0	0	0
Cash Flow from Investing	(5,636)	(7,232)	(3,850)	(8,072)	(12,249)
Shares Issue / (Repurchase)	55	683	0	0	0
Cost of Dividends Paid	(3,162)	(1,629)	(1,018)	(1,231)	(1,942)
Cash Flow from Financing	315	8,297	(1,915)	3,744	6,080
Free Cash Flow	(1,138)	(12,738)	861	(2,796)	(1,439)
Net Debt	(17,611)	(6,023)	(5,867)	(1,839)	1,542
Change in Net Debt	(65)	12,965	157	4,028	3,381

Key Balance Sheet Data

Property, Plant & Equipment	37,059	36,201	35,519	39,170	46,567
Other Non-Current Assets	27,050	26,620	26,668	26,583	26,506
Trade Receivables	12,253	16,237	14,841	17,334	19,411
Cash & Equivalents	57,001	53,157	52,103	53,050	57,691
Other Current Assets	30,606	20,629	19,561	21,090	21,735
Total Assets	163,969	152,845	148,691	157,228	171,909
Long-Term Debt	12,078	20,923	20,395	23,319	28,034
Other Non-Current Liabilities	4,162	3,447	3,447	3,447	3,447
Short-Term Debt	21,856	19,429	19,059	21,110	24,417
Other Current Liabilities	49,705	40,864	39,280	41,548	42,504
Total Liabilities	93,257	91,444	88,963	96,206	105,184
Total Equity	70,712	61,401	59,728	61,022	66,725
Total Equity & Liabilities	163,969	152,845	148,691	157,228	171,909

iQmethodSM - Bus Performance*

Return On Capital Employed	12.9%	-0.1%	-0.3%	1.6%	5.5%
Return On Equity	16.2%	-13.1%	-2.8%	2.4%	9.9%
Operating Margin	10.8%	-1.3%	-1.8%	1.5%	7.2%
EBITDA Margin	13.6%	4.0%	3.9%	6.2%	11.9%

iQmethodSM - Quality of Earnings*

Cash Realization Ratio	0.8x	NM	NM	3.7x	1.7x
Asset Replacement Ratio	2.6x	1.9x	0.9x	2.0x	2.7x
Tax Rate (Reported)	10.9%	15.0%	15.0%	15.0%	15.0%
Net Debt-to-Equity Ratio	-24.9%	-9.8%	-9.8%	-3.0%	2.3%
Interest Cover	27.1x	-1.3x	-1.3x	1.2x	5.4x

Key Metrics

* For full definitions of iQmethodSM measures, see page 4.

Company Sector

Energy Technology

Company Description

LONGi was founded in 2000 by Mr. Li Zhenguo, who is currently director and general manager of the company. LONGi was listed in 2012 and has been a leading wafer and module producer in the solar industry. LONGi picked the mono-crystalline Si and PERC tech route early and introduced diamond wire cutting tech to significantly save non-silicon module costs by 80-90%. LONGi launched the proprietary HPBC tech and holds the world record for conversion efficiency for HJT solar cells.

Investment Rationale

We have an Underperform rating on LONGi given our expectations for worsening oversupply in the industry. We don't foresee a turnaround in the near term. We see industry gross margin falling. LONGi's new cell technology takes time to prove whether it deserves a premium.

Stock Data

Price to Book Value

2.2x

Price objective basis & risk

LONGi Green Energy Technology (XAQZF)

We derive our price objective of Rmb11.9 using DCF-based valuation. We assume a WACC of 7.6% and terminal growth rate of 3%.

Upside risks: potential for global governments to lift solar power installation and policy support to curb emissions, proprietary cost reduction tech launch, trade barrier removal, fast capacity exit by major manufacturers.

Downside risks: lower-than-expected ASP, margin, demand weakness, trade policy headwinds, lagging technology and cost pressure.

Analyst Certification

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APR - Utilities Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Aboitiz Power Corporation	ABZPF	AP PM	Julian Roxas
	B.Grimm Power	XVSGF	BGRIM TB	Sirichai Chalokepunrat
	Beijing Enterprises Holdings Limited	BJINF	392 HK	Cissy Guan
	Beijing Enterprises Water	BJWTF	371 HK	Cissy Guan
	China Everbright Environment Group	CHFFF	257 HK	Cissy Guan
	China Yangtze Power Co., Ltd	CYGZF	600900 CH	Gary Tsang
	CK Infrastructure Holdings	CKISF	1038 HK	Cissy Guan
	CLP Holdings	CLPHF	2 HK	Cissy Guan
	CLP Holdings - A	CLPHY	CLPHY US	Cissy Guan
	Doosan Enerbility	DOHIF	034020 KS	Taekyoung Ha
	First Gen Corporation	FSGCF	FGEN PM	Julian Roxas
	Guangdong Investment	GGDVF	270 HK	Cissy Guan
	Guangxi Guiguan Electric Power Co Ltd	XGPEF	600236 CH	Charlotte Xia
	Gulf Development	XKRIF	GULF TB	Narumon Ekasamut
	Jiangsu Zhongtian Technology	XJFJF	600522 CH	Gary Tsang
	Jinko Solar	XJGCF	688223 CH	Gary Tsang
	Manila Electric Co.	MERVF	MER PM	Julian Roxas
	Manila Water	MWTCF	MWC PM	Julian Roxas
	NHPC Ltd	XNTHF	NHPC IN	Amish Shah, CFA
	Ningbo Orient Wires & Cables	XORRF	603606 CH	Gary Tsang
	NTPC Ltd	NTHPF	NTPC IN	Amish Shah, CFA
	Power Assets	HGKGF	6 HK	Cissy Guan
	Power Grid Corporation of India Ltd	XPPWF	PWGR IN	Amish Shah, CFA
	Sembcorp Industries	SCRPF	SCI SP	Jessie Lo
	Shenzhen Gas	XSRAF	601139 CH	Cissy Guan
	Synergy Grid & Development Phils., Inc.	XSLIF	SGP PM	Julian Roxas
	Tenaga Nasional Berhad	TNABF	TNB MK	Jessie Lo
NEUTRAL				
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	China Resources Gas Group Limited	CRGGF	1193 HK	Cissy Guan
	China Resources Power	CRPJF	836 HK	Gary Tsang
	Electricity Generating Company Ltd.	EYGGF	EGCO TB	Sirichai Chalokepunrat
	Global Power Synergy	XWODF	GPSC TB	Sirichai Chalokepunrat
	Korea Electric Power Corp	KEPLF	015760 KS	Taekyoung Ha
	Korea Electric Power Corp	KEP	KEP US	Taekyoung Ha
	Ratch Group PCL	XEGEF	RATCH TB	Sirichai Chalokepunrat



APR - Utilities Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
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	CGN Power	XALQF	003816 CH	Gary Tsang
	CGN Power	CGNWF	1816 HK	Gary Tsang
	China Datang Renewable	XGDRF	1798 HK	Gary Tsang
	China Gas Holdings Limited	CGHOF	384 HK	Cissy Guan
	China Longyuan Power Group Corp. Ltd.	CLPXF	916 HK	Gary Tsang
	China Longyuan Power Group Corp. Ltd.	XXRYF	001289 CH	Gary Tsang
	China Three Gorges Renewables	XWRFF	600905 CH	Charlotte Xia
	Hong Kong & China Gas	HOKCF	3 HK	Gary Tsang
	Huadian Power International	HPIFF	1071 HK	Charlotte Xia
	Huadian Power Intl Corp-A	HPIZF	600027 CH	Charlotte Xia
	Huaneng Power International	HUNGF	902 HK	Gary Tsang
	Huaneng Power-A	HUNWF	600011 CH	Gary Tsang
	JA Solar	XJSTF	002459 CH	Gary Tsang
	LONGi Green Energy Technology	XAQZF	601012 CH	Gary Tsang
	SDIC Power Holdings	XLGVF	600886 CH	Charlotte Xia
	Tata Power Company Ltd	XNSGF	TPWR IN	Amish Shah, CFA
	Trina Solar	XVSLF	688599 CH	Gary Tsang

iQmethodSM Measures Definitions

Business Performance

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

EV / EBITDA

Basic EBIT + Depreciation + Amortization

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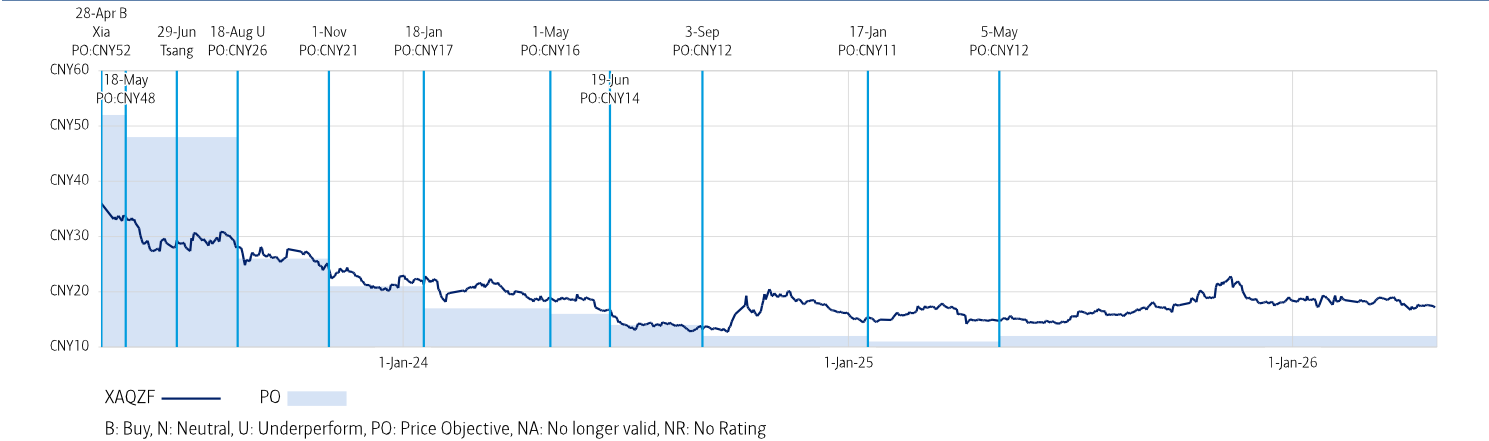
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LONGi Green Energy (XAQZF) Price Chart



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Equity Investment Rating Distribution: Utilities Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	82	50.62%	Buy	61	74.39%
Hold	38	23.46%	Hold	33	86.84%
Sell	42	25.93%	Sell	20	47.62%

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Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

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Buy	≥ 10%	≤ 70%
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